

Strategic Workforce Risk Report: Employee Attrition Analysis

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Executive Overview

Every year, corporate turnover generates heavy hidden costs through recruitment, onboarding, and lost operational momentum. To move from reactive hiring to proactive retention, we developed an early-warning tracking system using historical workplace data from 1,470 employees.

The resulting system is highly reliable, successfully identifying roughly **80% of actual upcoming resignations** before they occur. This gives HR leadership a critical window of opportunity to intervene and save valuable talent before a formal resignation letter is ever submitted.

The Top 3 Red Flags Driving Employee Exits

Our analysis reveals that employee departures are highly predictable and stem from three main operational pain points:

1. **Workplace Burnout (Overtime Demands):** Regular overtime is the single largest predictor of employee flight risk. Employees who routinely work extra hours are **three times more likely to leave** the company than those with stable, predictable schedules.
2. **The Entry-Level Salary Tipping Point:** While income matters, there is a distinct structural threshold. Personnel earning under **\$3,000 per month** exhibit exceptionally high exit rates. Once an employee's compensation crosses the **\$5,000 per month** mark, their likelihood of leaving drops dramatically.
3. **The Critical First-Year Horizon:** Retention risk peaks acutely during an employee's **first 12 months** with the company. If a worker can be successfully supported through their first year, their statistical probability of staying long-term increases by over 40%.

High-Risk Focus Areas: Departments & Job Roles

HR should immediately focus retention budgets and management attention on the following areas:

- **The Sales Department:** This department suffers from the sharpest structural talent drain in the entire organization.
- **Sales Representatives & Laboratory Technicians:** These two specific roles show the highest baseline flight risks due to a combination of high-stress environments and lower early-stage compensation.

Concrete Strategic Recommendations

To actively lower turnover based on these findings, we recommend two immediate policy changes:

- **Implement an Overtime Audit & Cap Policy:** Review departmental overtime logs on a weekly basis. HR should establish a strict cap on consecutive weeks of overtime or mandate compensatory time off to directly address workplace burnout.

- **Launch "First-Year Milestone" Stay Interviews:** Mandate informal HR check-ins at the 90-day and 180-day marks for all new entry-level hires. These conversations should focus heavily on workload balance and alignment with their manager, allowing HR to catch dissatisfaction before it leads to an exit.

Key Operational Limitation

Before deploying this system, the HR team must keep one crucial limitation in mind: **The model relies on static, historical snapshots** (such as annual review scores and fixed survey data). It cannot capture real-time, sudden changes in the workplace such as a sudden toxic shift in team culture or an immediate conflict with a supervisor which frequently trigger unexpected, rapid resignations. It should be used as a general health check, not a substitute for everyday management intuition.